

MACK IN BLACK

# The Copper Pot

## Operational Diagnostic Report

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April 2025 – March 2026 · 11.5 months analyzed

Prepared June 13, 2026

|                    |                 |                |
|--------------------|-----------------|----------------|
| <b>\$1,933,428</b> | <b>\$5,309</b>  | <b>\$35.19</b> |
| Annual Revenue     | Avg Daily Sales | Avg Check      |

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Data-driven operational optimization for independent restaurants

## Start Here

This report puts a dollar figure on where your margin is leaking and what to do about it. Read this page, then the Executive Summary. Everything after is the evidence behind each number.

### IDENTIFIED OPPORTUNITY

# \$100,500 – \$201,500 / year

The low end holds under conservative assumptions; the high end is the full measured gap. One number, no double-counting – the same range appears throughout.

**If you do one thing first:** Reprice or re-engineer Classic Burger first, then audit portions on top sellers.  
(\$57,200–\$114,500/yr)

### What's inside

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Every finding carries a confidence tier and a dollar range. Recovery assumptions and data sources are itemized in Methodology & Assumptions at the back.

## Executive Summary

The \$100,500 – \$201,500/year opportunity breaks down into the findings below, ranked by impact. Each carries a confidence tier; the low–high range reflects conservative versus full recovery.

| # | Annual Impact             | Finding                         | Conf.  | Detail                                                                        |
|---|---------------------------|---------------------------------|--------|-------------------------------------------------------------------------------|
| 1 | <b>\$57,200–\$114,500</b> | Food cost above target          | High   | Recipe-weighted food cost is 35.9% vs the 30% target (industry range 28-32%). |
| 2 | <b>\$23,200–\$46,400</b>  | Third-party delivery fees       | Medium | 24% of revenue through apps at ~25% commission.                               |
| 3 | <b>\$14,500–\$29,000</b>  | Discounting at 2.4% of gross    | Medium | Above the 1-2% typical range.                                                 |
| 4 | <b>\$5,800–\$11,600</b>   | Void rate at 1.6% (target: <1%) | High   | Excess voids — likely POS errors or training gaps.                            |

*Food cost above target — Drivers already inside this number, not additional: 24 vendor items up >3% (\$10,064/yr); recorded waste (\$15,369/yr); 9 high-volume items costing >35% (worst: Classic Burger).*

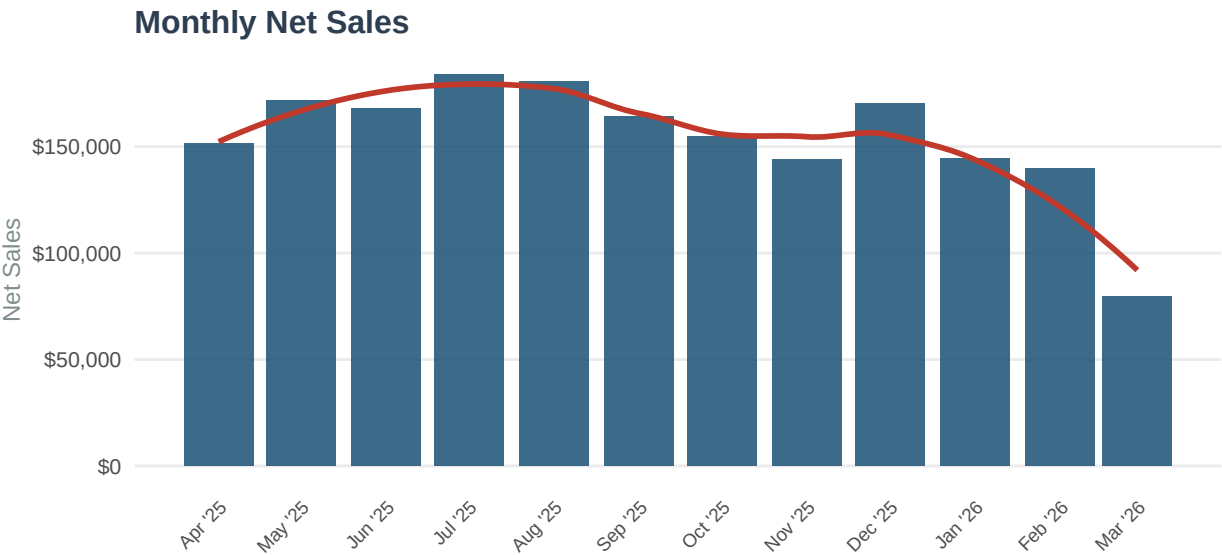
### Where To Start

1. **Reprice or re-engineer Classic Burger first, then audit portions on top sellers.** — recovers \$57,200–\$114,500/yr
2. **Shift delivery volume to direct ordering — promote it at pickup and on packaging.** — recovers \$23,200–\$46,400/yr
3. **Audit discount programs. Cut the ones that aren't driving repeat visits.** — recovers \$14,500–\$29,000/yr

*Every finding is written to your action tracker with an owner and status — progress is reviewed against it in each monthly report.*

Revenue Trends

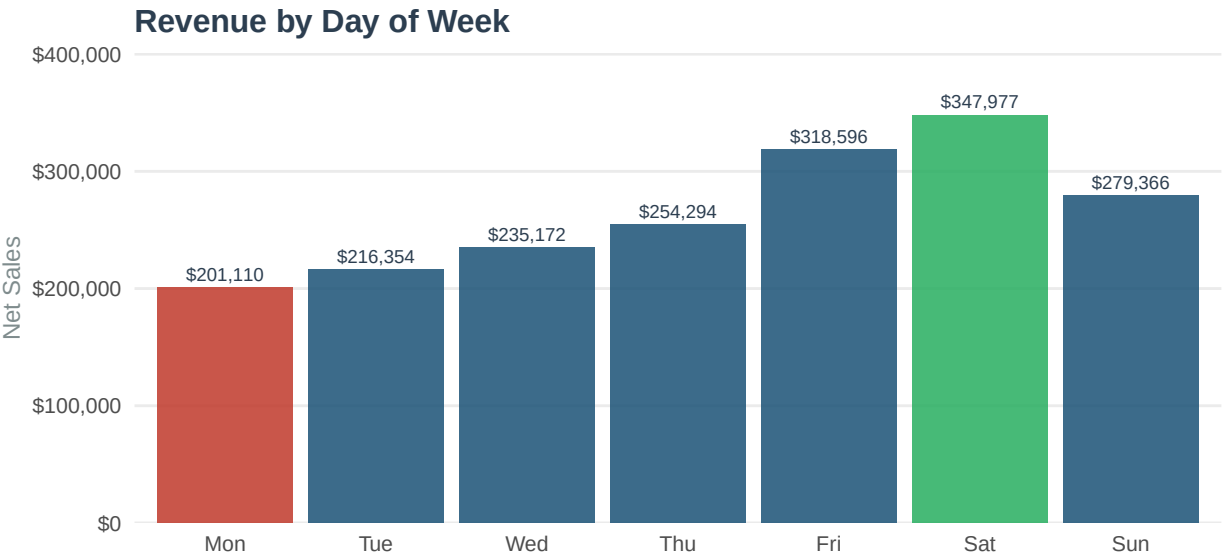
Best month: **Jul 2025** (\$183,982). Weakest: **Mar 2026** (\$79,528.60). Swing: **\$104,453**.



| Month    | Net Sales | Orders | Avg Daily  | Avg Check |
|----------|-----------|--------|------------|-----------|
| Apr 2025 | \$151,354 | 4234   | \$5,045.14 | \$35.75   |
| May 2025 | \$171,655 | 4887   | \$5,537.27 | \$35.12   |
| Jun 2025 | \$167,974 | 4804   | \$5,599.14 | \$34.97   |
| Jul 2025 | \$183,982 | 5268   | \$5,934.89 | \$34.92   |
| Aug 2025 | \$180,675 | 5147   | \$5,828.22 | \$35.10   |
| Sep 2025 | \$164,325 | 4701   | \$5,477.49 | \$34.96   |
| Oct 2025 | \$154,765 | 4357   | \$4,992.43 | \$35.52   |
| Nov 2025 | \$144,060 | 4167   | \$4,801.98 | \$34.57   |
| Dec 2025 | \$170,327 | 4763   | \$5,494.40 | \$35.76   |
| Jan 2026 | \$144,366 | 4174   | \$4,656.97 | \$34.59   |
| Feb 2026 | \$139,857 | 3866   | \$4,994.89 | \$36.18   |
| Mar 2026 | \$79,529  | 2281   | \$5,301.91 | \$34.87   |

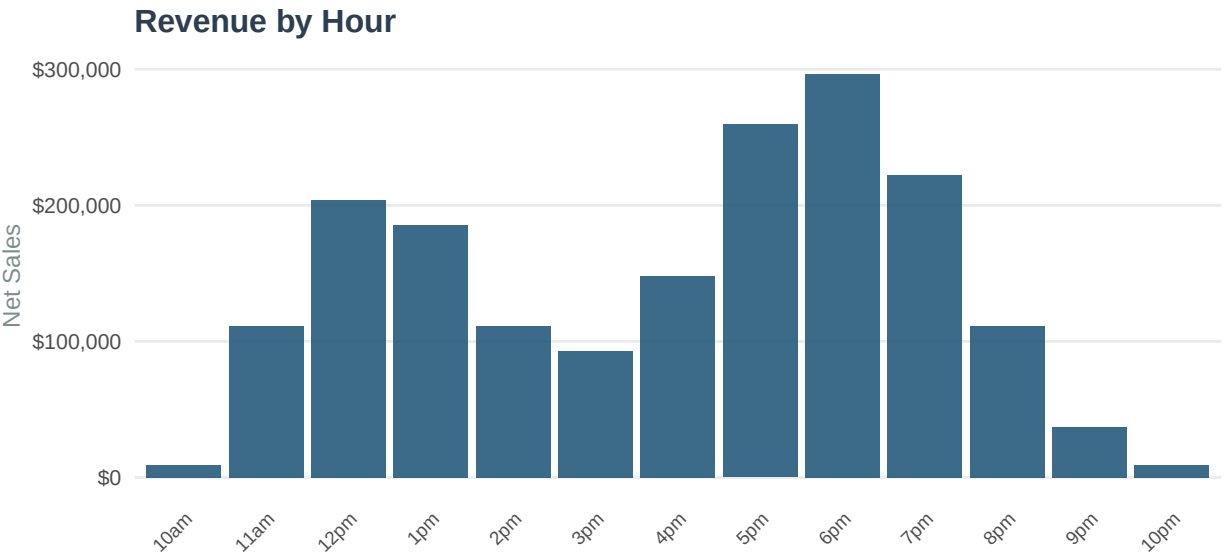
Day of Week

**Sat** is the strongest day. **Mon** is the weakest. Fri–Sun accounts for **51%** of total revenue. Staffing should reflect this concentration.



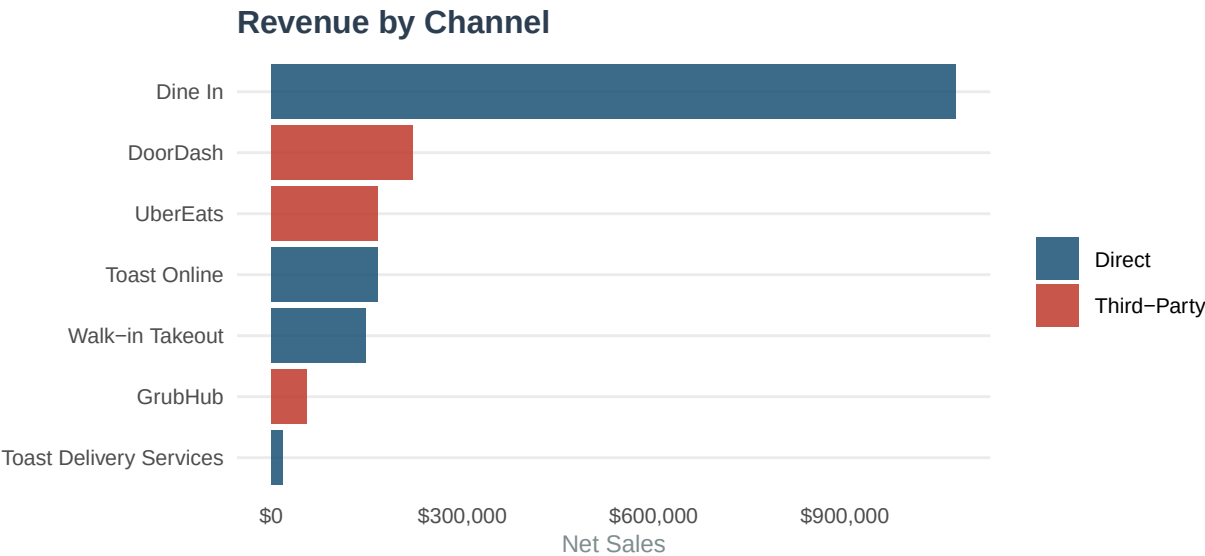
Peak Hours

**Dinner** drives **58%** of revenue. This is the anchor daypart — staffing and prep should be built around it.



# Channel Mix

Third-party delivery is costing approximately **\$116,006/year** in commissions. Every order shifted to direct channels keeps that margin.



## Voids & Discounts

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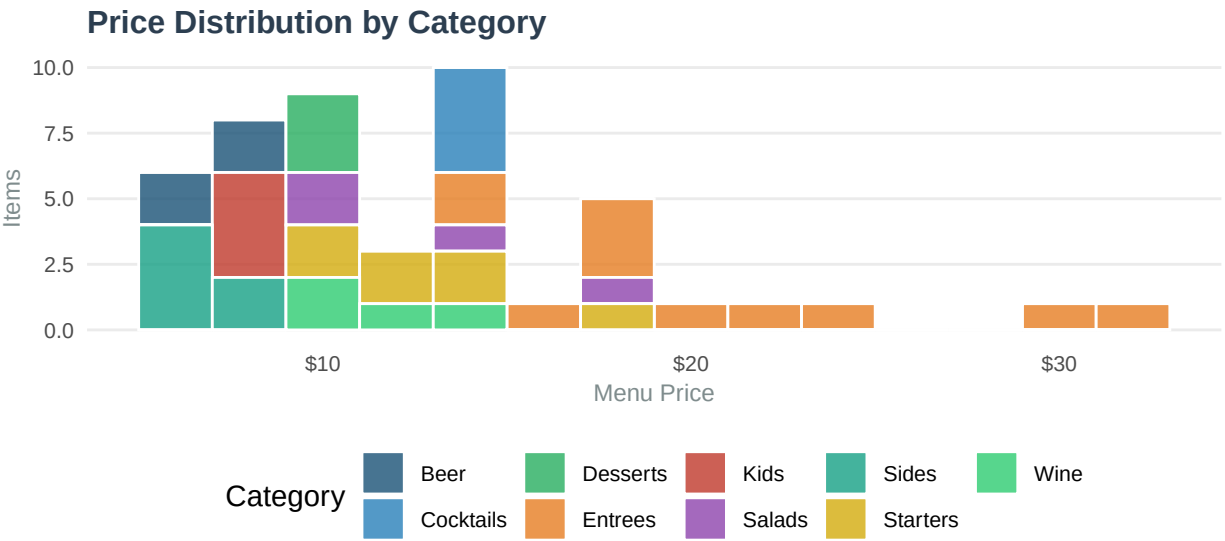
Void rate at **1.6%** (target: <1%). Excess: approximately **\$11,601/yr.** Discount rate: **2.4%** of gross (\$46,321.70).

Menu & Pricing

47 items across 9 categories — average price: \$13.13

18 items under \$10, 4 over \$20. Biggest category: **Entrees** (11 items).

| Category  | Items | Avg Price | Price Range    |
|-----------|-------|-----------|----------------|
| Entrees   | 11    | \$21.08   | 14.99 – –32.99 |
| Cocktails | 4     | \$14.36   | 13.49 – –14.99 |
| Salads    | 4     | \$13.74   | 9.99 – –18.99  |
| Starters  | 7     | \$13.20   | 9.99 – –18.99  |
| Wine      | 4     | \$11.50   | 10 – –14       |
| Desserts  | 3     | \$10.16   | 9.49 – –10.99  |
| Kids      | 4     | \$8.36    | 7.49 – –8.99   |
| Beer      | 4     | \$7.25    | 5.50 – –8.50   |
| Sides     | 6     | \$6.91    | 5.99 – –7.99   |

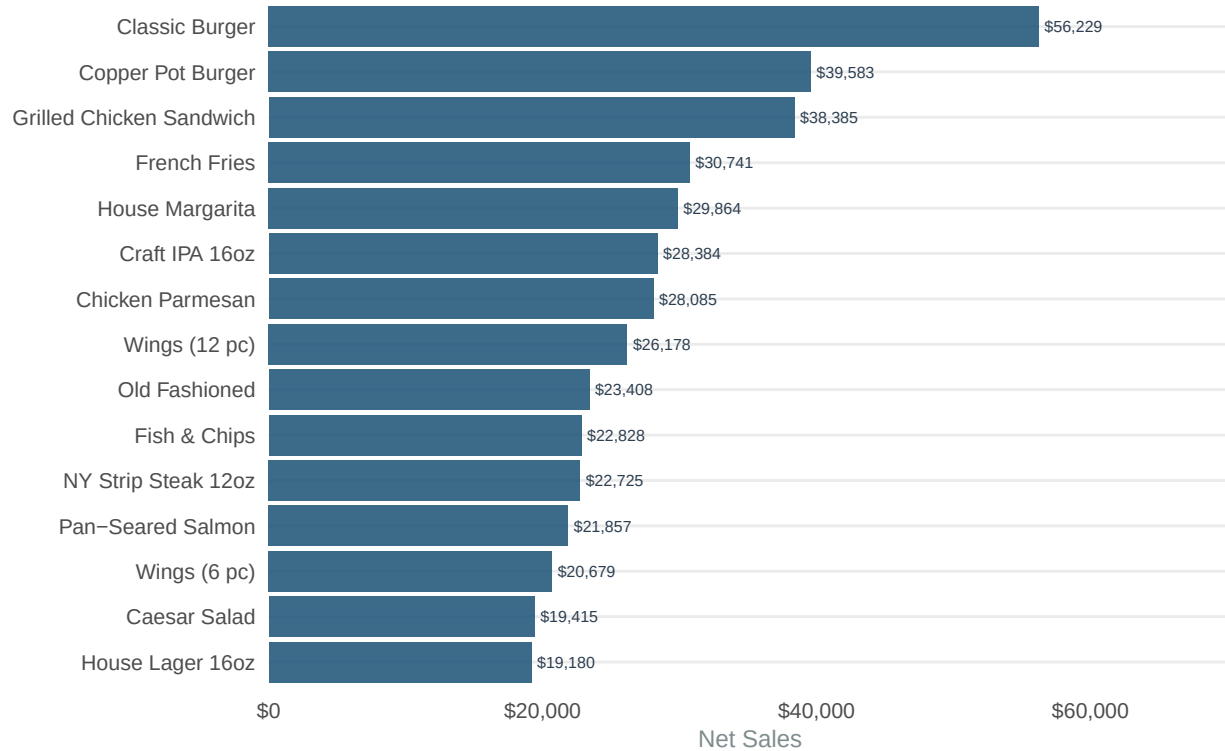


## Sales Mix

**26 items drive 80% of revenue** — out of 47 on the menu. That means 55% of your menu does the heavy lifting.

### Top 15 Items by Revenue

11.5-month period



Revenue vs. Volume — Finding the Mismatches

Revenue vs. Volume per Item

Top right = stars. Bottom right = volume without revenue.



Table 1: Bottom 10 Items — Menu Simplification Candidates

| Item                  | Category | Qty Sold | Avg Price | Net Sales  |
|-----------------------|----------|----------|-----------|------------|
| Kids Grilled Cheese   | Kids     | 250      | \$7.49    | \$1,839.35 |
| Kids Mac & Cheese     | Kids     | 400      | \$7.99    | \$3,106.36 |
| Seasonal Vegetables   | Sides    | 600      | \$5.99    | \$3,498.40 |
| Apple Crumble         | Desserts | 400      | \$9.49    | \$3,753.89 |
| Kids Burger           | Kids     | 500      | \$8.99    | \$4,410.58 |
| New York Cheesecake   | Desserts | 500      | \$9.99    | \$4,847.62 |
| Kids Chicken Tenders  | Kids     | 600      | \$8.99    | \$5,315.30 |
| Loaded Baked Potato   | Sides    | 700      | \$7.99    | \$5,442.08 |
| House Salad           | Salads   | 600      | \$9.99    | \$5,887.78 |
| Spinach Artichoke Dip | Starters | 600      | \$11.49   | \$6,736.02 |

Category Performance

Top 3 categories (Entrees, Starters, Cocktails) drive 64% of revenue.

| Category  | Items | Qty Sold | Net Sales | Avg Price | % Rev |
|-----------|-------|----------|-----------|-----------|-------|
| Entrees   | 11    | 15400    | \$277,198 | \$18.00   | 39%   |
| Starters  | 7     | 7500     | \$99,273  | \$13.24   | 14%   |
| Cocktails | 4     | 5800     | \$81,332  | \$14.02   | 11.4% |
| Sides     | 6     | 11300    | \$73,218  | \$6.48    | 10.3% |
| Beer      | 4     | 8700     | \$63,517  | \$7.30    | 8.9%  |
| Salads    | 4     | 3600     | \$44,558  | \$12.38   | 6.3%  |
| Wine      | 4     | 3800     | \$40,650  | \$10.70   | 5.7%  |
| Desserts  | 3     | 1600     | \$16,096  | \$10.06   | 2.3%  |
| Kids      | 4     | 1750     | \$14,672  | \$8.38    | 2.1%  |

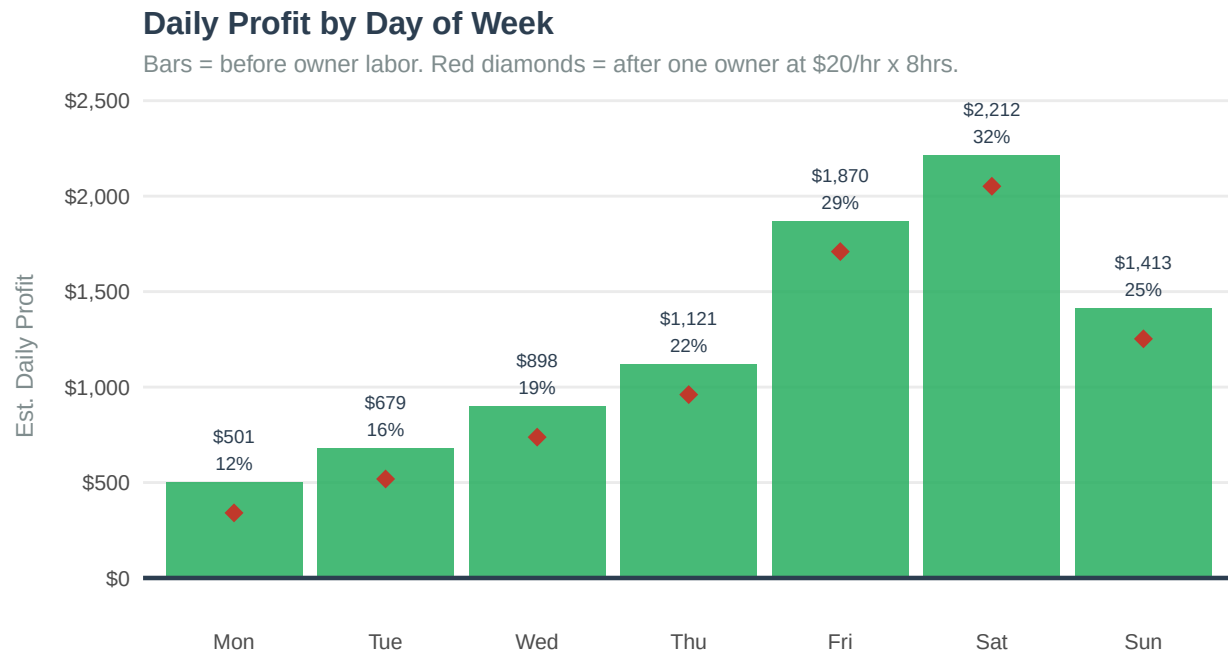
## Labor

Total labor: **\$402,433** (21.7% of revenue). Revenue per labor hour: **\$69.87**.

| Role           | Staff | Reg Hrs | OT Hrs | Total Pay |
|----------------|-------|---------|--------|-----------|
| Kitchen        | 4     | 7493    | 171    | \$155,323 |
| Management     | 2     | 4088    | 241    | \$113,413 |
| Front of House | 6     | 8418    | 0      | \$96,720  |
| Other          | 2     | 3093    | 0      | \$36,977  |
| Owner          | 1     | 2473    | 544    | \$0       |

## Estimated Daily Profit by Day of Week

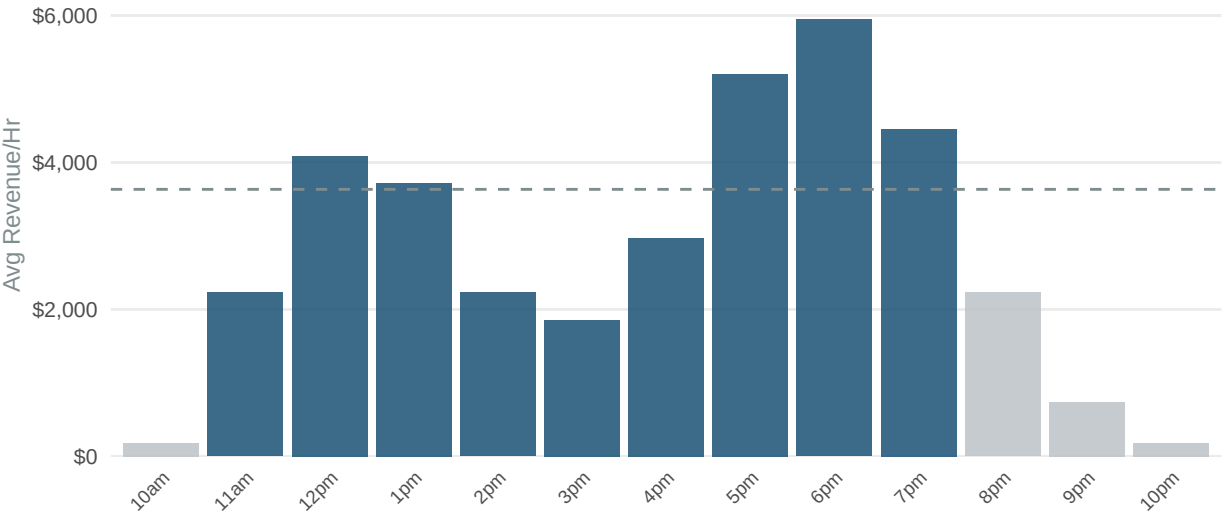
If staffing is roughly the same every day but revenue is not, some days are more profitable than others. This chart estimates daily profit assuming flat labor distribution.



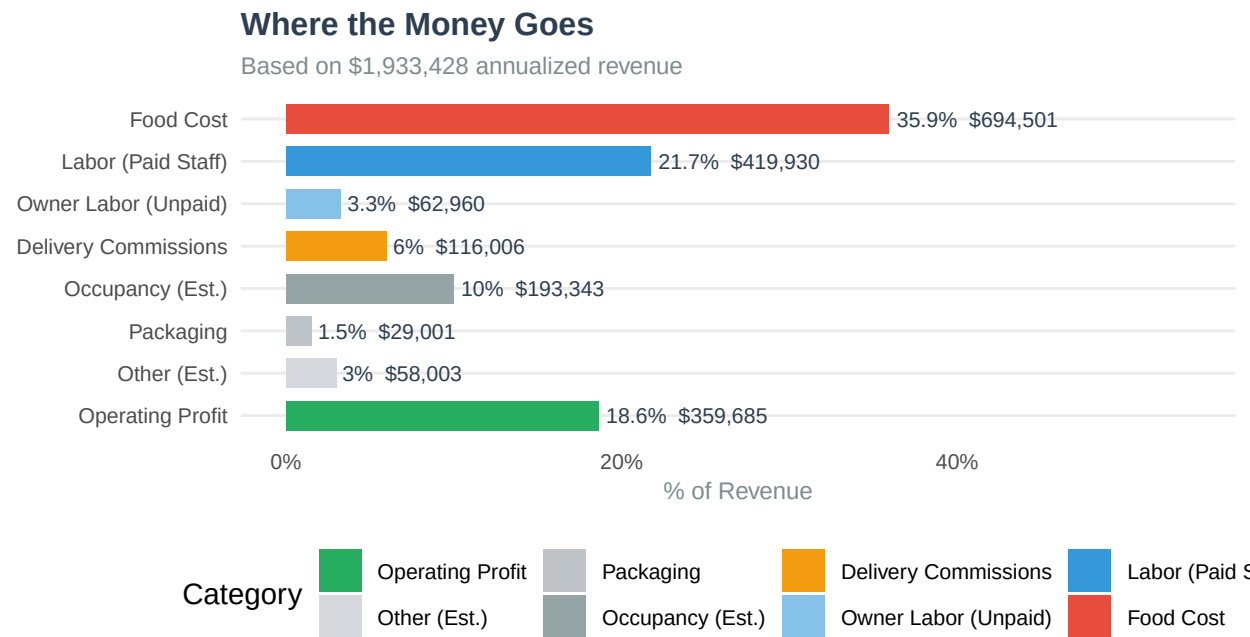
Revenue per Hour — Service Hours Focus

Hourly Revenue Pattern

Grey = outside biz hours. Red = below 50% avg. Dashed = service hr avg.



Estimated P&L — Where the Money Goes

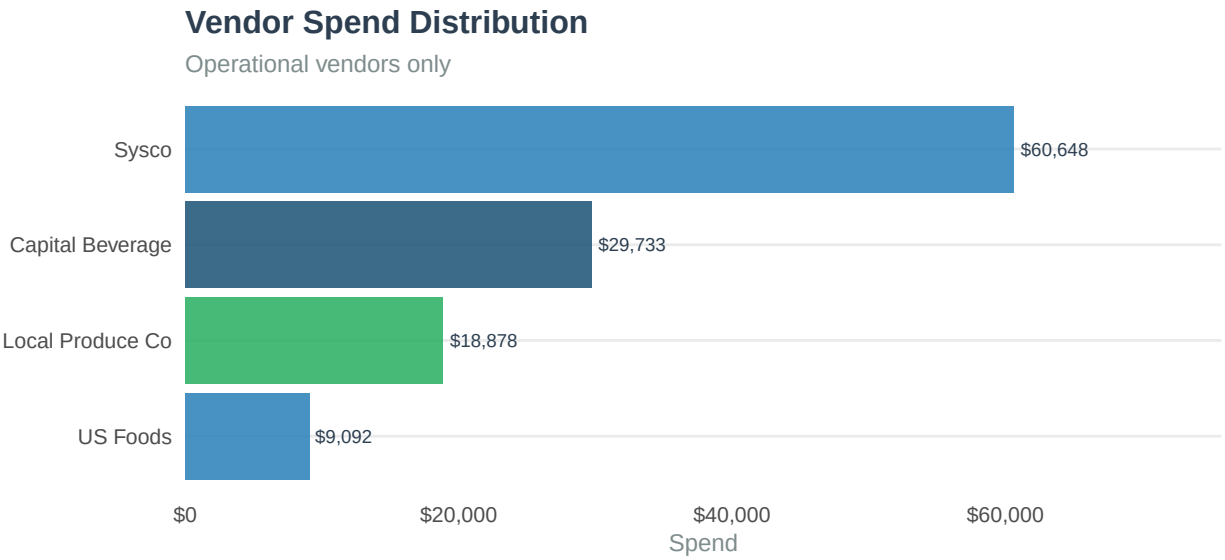


| Line Item            | Annual Est. | % of Rev |
|----------------------|-------------|----------|
| Food Cost            | (\$694,501) | 35.9%    |
| Labor (Paid Staff)   | (\$419,930) | 21.7%    |
| Owner Labor (Unpaid) | (\$62,960)  | 3.3%     |
| Delivery Commissions | (\$116,006) | 6%       |
| Occupancy (Est.)     | (\$193,343) | 10%      |
| Packaging            | (\$29,001)  | 1.5%     |
| Other (Est.)         | (\$58,003)  | 3%       |
| Operating Profit     | \$359,685   | 18.6%    |

Estimated operating margin is **18.6%** — healthy range.

**Owner compensation gap:** Owners logged 3,017 hours with \$0 on payroll. At \$20/hr = \$62,960/yr in real labor. "On paper" profit without owner pay: \$422,645 (21.9%).

Vendor Spend Overview



| Vendor           | Category               | Spend    | Period              | % of Total |
|------------------|------------------------|----------|---------------------|------------|
| Sysco            | Broadline distributor  | \$60,648 | Apr 2025 - Mar 2026 | 51.2%      |
| Capital Beverage | Beer, wine & spirits   | \$29,733 | Apr 2025 - Mar 2026 | 25.1%      |
| Local Produce Co | Local produce supplier | \$18,878 | Apr 2025 - Mar 2026 | 16%        |
| US Foods         | Broadline distributor  | \$9,092  | Apr 2025 - Mar 2026 | 7.7%       |

Contribution Margin

Blended food cost: **35.9%** vs 30% target. Gap: **\$114,472/yr** in margin erosion.

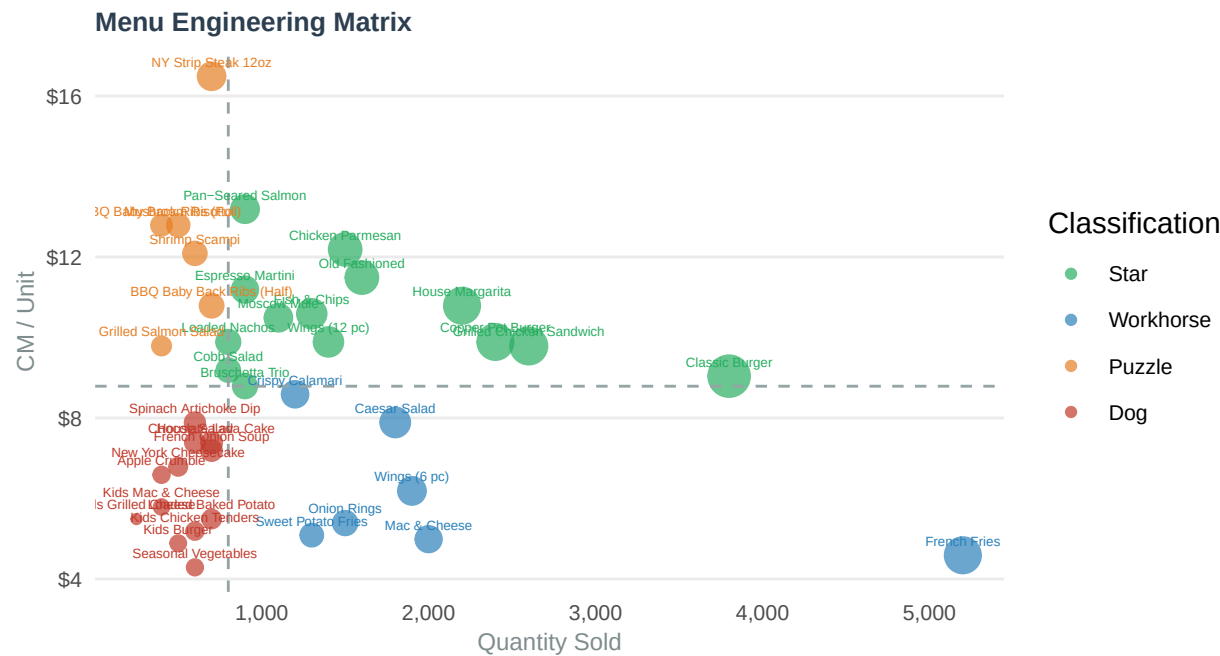


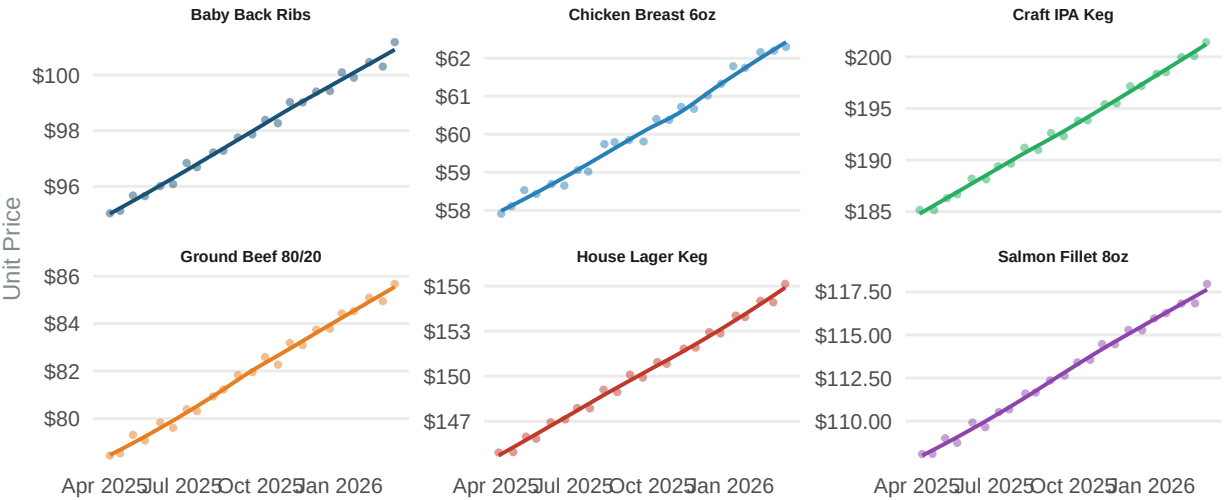
Table 2: Top 3 items per classification

| Item                      | Class     | Menu Price | FC%   | CM/Unit | Qty  | Total CM    |
|---------------------------|-----------|------------|-------|---------|------|-------------|
| Classic Burger            | Star      | \$14.99    | 39.7% | \$9.04  | 3800 | \$34,352.00 |
| Grilled Chicken Sandwich  | Star      | \$14.99    | 34.7% | \$9.79  | 2600 | \$25,454.00 |
| House Margarita           | Star      | \$13.99    | 22.9% | \$10.79 | 2200 | \$23,738.00 |
| French Fries              | Workhorse | \$5.99     | 23.4% | \$4.59  | 5200 | \$23,868.00 |
| Caesar Salad              | Workhorse | \$10.99    | 28.2% | \$7.89  | 1800 | \$14,202.00 |
| Wings (6 pc)              | Workhorse | \$10.99    | 43.7% | \$6.19  | 1900 | \$11,761.00 |
| NY Strip Steak 12oz       | Puzzle    | \$32.99    | 50%   | \$16.49 | 700  | \$11,543.00 |
| BBQ Baby Back Ribs (Half) | Puzzle    | \$19.99    | 46%   | \$10.79 | 700  | \$7,553.00  |
| Shrimp Scampi             | Puzzle    | \$21.99    | 45%   | \$12.09 | 600  | \$7,254.00  |
| Chocolate Lava Cake       | Dog       | \$10.99    | 32.8% | \$7.39  | 700  | \$5,173.00  |
| French Onion Soup         | Dog       | \$9.99     | 28%   | \$7.19  | 700  | \$5,033.00  |
| Spinach Artichoke Dip     | Dog       | \$11.49    | 31.3% | \$7.89  | 600  | \$4,734.00  |

Vendor Price Tracking

24 items have crept up >3% — adding approximately **\$10,064/yr** to food costs. This is one of the drivers behind the food cost gap identified above.

Price Trends --- Top Spend Items



| Item               | Start    | Current  | Change | Annual Impact |
|--------------------|----------|----------|--------|---------------|
| Ground Beef 80/20  | \$78.44  | \$85.67  | +9.2%  | \$1,518       |
| Chicken Breast 6oz | \$57.91  | \$62.30  | +7.6%  | \$1,138       |
| Craft IPA Keg      | \$185.16 | \$201.43 | +8.8%  | \$1,008       |
| Salmon Fillet 8oz  | \$108.09 | \$117.96 | +9.1%  | \$885         |
| Tomatoes           | \$2.07   | \$2.34   | +13%   | \$615         |
| House Lager Keg    | \$144.92 | \$156.15 | +7.7%  | \$562         |
| Shrimp 21-25 2lb   | \$21.96  | \$25.93  | +18.1% | \$439         |
| Frozen Fries 5lb   | \$8.31   | \$9.12   | +9.7%  | \$407         |

## Inventory

**\$5,373** tied up in inventory. This is cash on shelves that cannot pay rent, payroll, or bills until it is sold. Tighter ordering means more cash flow.

| Item                  | Category | Qty On Hand | Unit Cost | Total Value | % of Total |
|-----------------------|----------|-------------|-----------|-------------|------------|
| Salmon Fillet 8oz     | Protein  | 7.8         | \$113.12  | \$882.34    | 16.4%      |
| Fryer Oil 35lb        | Supplies | 20.6        | \$29.29   | \$603.37    | 11.2%      |
| Calamari Tubes        | Protein  | 8.5         | \$66.66   | \$566.61    | 10.5%      |
| Ground Beef 80/20     | Protein  | 5.9         | \$80.80   | \$476.72    | 8.9%       |
| Craft IPA Keg         | Beverage | 1.9         | \$188.87  | \$358.85    | 6.7%       |
| House Lager Keg       | Beverage | 2.3         | \$148.47  | \$341.48    | 6.4%       |
| Domestic Beer Case 24 | Beverage | 17.1        | \$18.99   | \$324.73    | 6%         |
| Chicken Breast 6oz    | Protein  | 5.2         | \$60.60   | \$315.12    | 5.9%       |

Waste

Annualized waste: **\$15,369/yr.** That is **3.1%** of food cost (benchmark: 2–4%).

Table 3: Top 5 waste items by cost

| Waste Item        | Category | Entries | Total Cost |
|-------------------|----------|---------|------------|
| French Fries      | Sides    | 19      | \$1,130.98 |
| Tomatoes          | Produce  | 17      | \$936.72   |
| Salmon Fillet 8oz | Protein  | 17      | \$856.58   |
| Mixed Greens      | Produce  | 15      | \$690.40   |
| Brioche Buns 48ct | Bread    | 13      | \$624.63   |

## Methodology & Assumptions

Findings are **non-overlapping by construction**: vendor price creep, waste, and underwater menu items are *drivers* of the food-cost gap, so when the gap finding fires they are reported inside it — never added on top. Each finding carries a low–high range: the low end is the conservative near-term recovery under the assumptions below; the high end is the full measured gap. The same range appears in every report in this engagement.

**Revenue annualization.** Period net sales / 11.5 months × 12 = \$1,933,428. The most recent 84-day run-rate annualizes to \$1,817,413 (-6% vs the period average). Where these diverge — seasonality, ramp-up, or a real trend — forward projections should lean on the run-rate.

### Benchmarks applied

| Metric                        | Target | Typical Range |
|-------------------------------|--------|---------------|
| Food cost (blended)           | 30%    | 28-32%        |
| Labor (incl. owner at market) | 30%    | 28-32%        |
| Prime cost (food + labor)     | <65%   | 60-65%        |
| Void rate                     | <1%    | 0.5-1%        |
| Discounts (of gross)          | <2%    | 1-2%          |
| Occupancy                     | 10%    | 8-12%         |

Industry standard ranges for fast-casual / casual dining; see the Industry Benchmarks reference report for sources.

### Recovery assumptions

| Assumption                                   | Low                 | High    | Applies to        |
|----------------------------------------------|---------------------|---------|-------------------|
| Share of food-cost gap recoverable near-term | 50%                 | 100%    | Food cost         |
| App delivery volume shiftable to direct      | 20%                 | 40%     | Delivery fees     |
| Excess voids recoverable                     | 50%                 | 100%    | Voids             |
| Discount spend recoverable                   | 30%                 | 60%     | Discounts         |
| Excess labor recoverable                     | 50%                 | 100%    | Labor             |
| Third-party commission rate                  | 25%                 | 25%     | Channel economics |
| Owner labor at market rate                   | \$20/hr             | \$20/hr | True-cost P&L     |
| Occupancy / other overhead                   | 10% / 3% of revenue |         | Estimated P&L     |

### Data provenance per finding

| Finding                         | Confidence | Based on                                           |
|---------------------------------|------------|----------------------------------------------------|
| Food cost above target          | High       | Recipe costs joined to item-level POS sales        |
| Third-party delivery fees       | Medium     | POS channel data; shift rate is an assumption      |
| Discounting at 2.4% of gross    | Medium     | POS discount data; recovery share is an assumption |
| Void rate at 1.6% (target: <1%) | High       | POS void summary                                   |

High = measured directly from POS/payroll/line-item data. Medium = measured base, assumption-driven recovery. Low = partial data; treat as an estimate to be pinned down.

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Mack in Black — Operational Optimization for Independent Restaurants